

Statement of Advice

Financial Planning Strategy

Prepared for:

Andrew & Karen Pritchard
9 Rendell Court
HUGHESDALE VIC 3166

Prepared on:

6 March 2026

Prepared by:

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AFS Authorised Representative number 324798

Wellth Pty Ltd
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What this document is about

This Statement of Advice is an important guide to the financial advice provided to you. It:

- Explains the advice we are giving and the reasons behind it, so you can make an informed decision about implementing it.
- Should be read alongside other key documents, including Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

We encourage you to get in touch with us:

- If you have any questions or need clarification about the advice.
- If any information about your personal or financial situation has been overlooked, omitted, or misunderstood.
- When you're ready to implement the recommendations.
- Or, if you decide to take a different course of action and would like our guidance or support.

6 March 2026

Andrew & Karen Pritchard

9 Rendell Court
HUGHESDALE VIC 3166

Dear Andrew & Karen,

I am pleased to provide you with your **Statement of Advice (SoA)**.

This document is an important guide and should be read carefully before you decide how to proceed. The strategies and recommendations within are based on our current understanding of your personal and financial situation. If any information is incomplete or does not accurately reflect your goals and circumstances, please let us know immediately so we can make the necessary updates.

The SoA outlines our recommended strategies to address your needs, along with a clear plan for implementing them. When you are ready to proceed, we will guide you through each step of implementation, including completing and submitting any forms or documents required.

Please note that our recommendations are **valid for 30 days** from the date on the cover of this document. If your circumstances change before implementation, or if you do not act within 30 days, the advice may no longer be suitable. In that case, please contact us so we can review your situation and update our recommendations.

Once implemented, it's important to review your financial plan regularly. This ensures that any changes in your life, goals, or the broader environment are reflected in your strategies, helping you stay on track to achieve your objectives.

We look forward to supporting you every step of the way.

Yours sincerely,

Andrew Lord

Wellth Pty Ltd
AFS Authorised Representative Number 324798

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1. About this SOA

SOA Overview

This SoA outlines the financial plan we discussed with your Wellth Pty Ltd adviser. It details the strategies and recommendations designed to help you achieve your financial goals.

Timeframe for Our Advice

Our recommendations in this SoA are **valid for 30 days** from the date on the cover of this document. If your circumstances change before you act on these recommendations, or if you do not implement them within 30 days, the advice may no longer be suitable. In that case, please contact us so we can review and update your plan before you take any action.

Check for Accuracy

This advice is based on the information you have provided. Please read the document carefully to ensure all details are accurate and complete. If any information is incorrect, missing, or has changed, let us know immediately otherwise, the advice may no longer be appropriate for your situation.

Limitations of Our Advice

This SoA does **not cover advice in the following areas:**

- Trust or business structures
- Direct share or property purchases
- Taxation matters
- Legal matters
- General insurance

You should seek advice from a qualified professional in these areas if needed. Recommendations in this document should not be taken as advice in these fields.

Assumptions We've Made

Our advice is based on a set of assumptions to demonstrate how the recommendations could affect your financial situation. These include:

- Economic and legislative information current at the time of preparation
- All monetary figures are expressed in **today's dollars**, even when referring to future income, expenses, or investment amounts
- Amounts are **per annum (p.a.)** unless stated otherwise
- Future inflation, market returns, and other financial variables are assumed based on historical trends; actual results may differ

Product Selection

We are committed to recommending products that are appropriate for your situation. All product recommendations in this SoA are drawn from Wellth Pty Ltd's Approved Product List (APL), which is reviewed regularly by a dedicated Investment Committee.

If you would like to see the full list of approved products, please ask your adviser.

2. Introduction

You are entitled to receive a **SoA** whenever we provide personal financial advice. Personal financial advice considers your objectives, financial situation, and needs.

This SoA is a record of the advice we have provided and includes:

- The basis on which the advice is given;
- Information about remuneration, including fees and any other benefits; and
- Any interests, relationships, or associations that could influence the advice.

If the advice includes a recommendation to acquire a financial product (other than securities) or an offer to issue or arrange a financial product, we will also provide a Product Disclosure Statement (PDS) for that product to help you make an informed decision.

Scope of Our Advice

The focus of this advice is on:

- Structure of Redundancy Proceeds
- Superannuation Advice
- Superannuation Contribution Strategies
- Retirement Planning

This advice is based on the information you have provided. It is important that this information is accurate and complete, as advice based on incorrect or incomplete information may not meet your objectives, financial situation, or needs.

Our advice is provided within the limits of the law and the areas in which we are authorised to provide advice.

Investment Recommendations

For investments recommended as part of this advice, you are generally entitled to a 14-day cooling-off period. This allows you to change your mind and request a return of your capital after making your initial investment.

Each fund or investment provider may implement the cooling-off period differently. We recommend you refer to the PDS for each product to understand how the cooling-off period operates for that investment.

Your Adviser

If you have questions or concerns, please contact your adviser:

Andrew Lord

Mob: 0447 556 011

Email: andrew.lord@lakesidefinancial.com.au

AFS Authorised Representative number 324798

If you wish to discuss any concerns about your adviser or the advice received, please contact us directly on 1800 870 860.

The Planning Process

Financial planning is a process designed to help you achieve your personal and financial goals. To do this, we work with you to:

1. Confirm your personal goals and lifestyle objectives
2. Quantify the resources needed to achieve those goals
3. Identify gaps between your current plans and objectives
4. Develop strategies to address any gaps, taking into account your risk profile and investment preferences
5. Conduct regular reviews to ensure your plan remains relevant in light of your changing circumstances, legislation, and the investment environment

3. Summary of our Advice

In this SOA, our advice considers the key areas of your financial circumstances that are relevant to achieving your goals and objectives.

Your Goals and Objectives

Based on our discussions, we have summarised your key goals and objectives below. These form the foundation of the financial advice, so please review them carefully to ensure they are accurate. If any changes or additions are needed, please let us know before we implement the recommended actions.

Your goals and objectives are to:

- Determine the most appropriate use and structure for Andrew's redundancy payment proceeds.
- Review your existing superannuation fund and determining an appropriate structure moving forward.
- Consider appropriate superannuation contribution strategies.

4. Your Personal and Financial Details

To prepare this advice, we've relied on the information you provided about your personal circumstances, financial position, goals, and preferences.

A summary of this information is outlined below:

Personal Details

	Your details	Spouse/Partner details
Title	Mr	Mrs
First Name	Andrew	Karen
Surname	Pritchard	Pritchard
Gender	Male	Female
Date of Birth	29/11/1967	18/03/1966
Age Last Birthday	58	59

Financial Details

Assets:

Lifestyle Assets	Amount
Residential property – joint (Hughesdale)	\$1,100,000
Motor vehicles	\$42,000
Total Lifestyle Assets	\$1,142,000

Investment Assets	Amount
Cash at bank – joint	\$15,000
Share portfolio – joint	\$11,753
Approximate NET proceeds from redundancy payout – Andrew	\$114,000
Total Investment Assets	\$140,753

Superannuation Assets	Amount
CBUS Accumulation Fund – Andrew	\$336,789
PSS Defined Benefit – Karen	Lifetime Pension*
Total Superannuation Assets	\$336,789

* Currently \$4,200.59 per fortnight (\$109,215 p.a. gross)

TOTAL ASSETS	\$1,619,542
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Liabilities:

Loans	Amount
Residential home loan (Westpac)	\$225,770
Car loan (ING)	\$22,000
Zip loan	\$2,028
TOTAL LIABILITIES	\$249,728

NET WORTH	\$1,369,814
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5. Your Investor Risk Profile

This section of your SOA helps us ensure we understand your attitude to investing. Every investment has different characteristics, and not all options suit every investor.

Based on your responses to the Investor Risk Profile, it was determined that you have a **Balanced to Growth** investor risk profile for your investments *within* superannuation.

A **Balanced to Growth** investor typically:

- Places greater emphasis on capital appreciation with current income and asset preservation being a secondary concern.
- Has an investment time horizon of 5–7 years.
- Holds a portfolio generally overweight in shares and property, with smaller exposure to income bearing investments such as cash and fixed interest.

A **Balanced to Growth** investor will typically diversify their investment in the following manner:

Asset Class	Exposure
Australian Shares	30.50%
International shares	33.00%
Property	13.00%
Alternatives	4.50%
Fixed Interest	16.00%
Cash	3.00%
Total	100%

Furthermore, based on your composition of your responses to the Investor Risk Profile, it was determined that you have a **Moderately Conservative** investor risk profile for your investments *outside* superannuation.

A **Moderately Conservative** investor typically:

- Places greater emphasis on capital appreciation with current income and asset preservation being a secondary concern.
- Has an investment time horizon of 5–7 years.
- Holds a portfolio generally overweight in shares and property, with smaller exposure to income bearing investments such as cash and fixed interest.

A **Moderately Conservative** investor will typically diversify their investment in the following manner:

Asset Class	Exposure
Australian Shares	20%
International shares	20%
Property	8%
Alternatives	8%
Fixed Interest	36%
Cash	8%
Total	100%

Our research shows that long-term returns are best achieved through a diversified portfolio across major asset classes, including cash, fixed interest, shares, and property. This diversification helps manage investment risks and volatility in line with your profile, while providing the potential for long-term growth.

If you feel this profile does not accurately reflect your risk tolerance, or if the recommended portfolio is too aggressive or conservative, please let us know so we can adjust our recommendations accordingly.

6. Tax and Superannuation Environment

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate.

The current tax rates are as follows:

Income Earned in your personal name: Tax rates 2025-26

Taxable income	Tax on this income
\$1 – \$18,200	Nil
\$18,201 – \$45,000	16c for each \$1 over \$18,200
\$45,001 – \$135,000	\$4,288 plus 30c for each \$1 over \$45,000
\$135,001 – \$190,000	\$31,288 plus 37c for each \$1 over \$135,000
\$190,001 and over	\$51,638 plus 45c for each \$1 over \$190,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on Superannuation Earnings, Contributions and Income Streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase – after age 60
Salary/pension income	Marginal tax rate (max 45% + Medicare levy)	N/A	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	N/A
Investment income	Marginal tax rate (max 45% + Medicare levy)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contributions Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only
From 1 July 2022	\$27,500	\$27,500**			SGC only
From 1 July 2024	\$30,000	\$30,000**			SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

** From 1/07/2022, work test requirements were removed for all contributions, except personal tax-deductible contributions.

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Below age 67	Age 67 to 74	Age 75+
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute
From 1 July 2024	\$120,000 p.a.	May bring forward two years of contributions to make a \$360,000 contribution in one financial year		Cannot contribute

7. Redundancy Payment Proceeds

Andrew, you have received a redundancy from Alstom, resulting in a NET payout of approximately \$114,000.

You plan to work in some capacity moving forward (you are a cabinet maker by trade) and will consider your options over the coming months.

The redundancy payment effectively gives you 12 months of 'breathing space' whilst you consider what to do from an employment perspective.

In terms of deploying the payout proceeds, your initial thoughts are to pay off your smaller debts (\$22,000 ING car loan and \$2,000 Zip loan) and place the remaining funds in your offset account, from which you can draw down to supplement living expenses when needed.

8. Tax on Redundancy Payout

Andrew, you have recently received a redundancy payout of \$92,082 along with the payout of your outstanding leave entitlements. The total GROSS payout was therefore \$124,750.

The tax payable and ultimate NET payout has been calculated as follows:

Step 1 – Tax-free limit (2025–26)

Tax-free limit formula for a genuine redundancy (2025–26):

- Base amount: \$13,100
- Plus: \$6,552 × completed years of service

You have 12 completed years:

- Service amount = $6,552 \times 12 = \$78,624$
- Tax-free limit = $13,100 + 78,624 = \$91,724$

So, up to **\$91,724** of a genuine redundancy payment can be received completely tax free (no income tax, no Medicare levy).

Step 2 – Apply to your payout

Total payout: **\$92,082.38**

Split:

- Tax-free genuine redundancy component: **\$91,724.00**
- Excess above tax-free limit: $92,082.38 - 91,724.00 = \358.38

That **\$358.38** is treated as an Employment Termination Payment (ETP) taxable component.

Step 3 – Tax on the taxable ETP portion

At age 58, you are **below preservation age** (preservation age is 60 for those born after 30 June 1964).

For someone under preservation age, the taxable component of a life-benefit ETP up to the relevant cap is taxed at **32% including Medicare levy**.

So, approximate tax on the \$358.38 ETP component:

- Tax = 32% × 358.38 ≈ **\$114.68**

Result

- **\$91,724.00** is tax free.
- About **\$114.68** of tax would be withheld from the **\$358.38** taxable ETP component (assuming well under the ETP cap).

Summary

Gross redundancy payment	\$92,082.38	
Less tax	<u>(\$ 114.68)</u>	\$91,967.70
Gross leave entitlement payment	\$32,667.83	
Less tax	<u>(\$10,455.32)</u>	<u>\$22,212.51</u>
NET PAYMENT		\$114,180.21

9. Concessional Superannuation Contributions Carry Forward

Andrew, the concessional superannuation contribution cap in previous years was \$27,500 per annum. In the 2024/25 financial year, this cap increased to \$30,000 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
 - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
 - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.

Andrew, the following concessional contributions have been made in recent years:

Financial Year	Andrew	Total Allowable Contributions
2020/21	\$7,825	\$25,000
2021/22	\$8,385	\$27,500
2022/23	\$8,370	\$27,500
2023/24	\$10,706	\$27,500
2024/25	\$13,401	\$30,000
TOTAL	\$48,687	\$137,500

- Andrew, you therefore have a total of **\$88,813** in concessional 'catch-up' contributions available to you from the 2020/21, 2021/22, 2022/23, 2023/24 and 2024/25 years.

Recommendation:

- **Andrew**, as your superannuation balance is less than \$500,000 you are eligible to make 'catch up' concessional contributions.
- **Andrew**, we recommend you make a personal superannuation contribution of \$52,169 in the 2025/26 financial year.
- The associated tax benefit is outlined on the following pages.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to 32% (including the 2% Medicare levy) if taken as income.
- The total tax saving from making a personal contribution of \$52,169 is anticipated to be:
 - Income tax saving **\$17,019**
 - NET overall tax saving **\$ 9,194**

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment (July 2025 to Feb 2026)	\$64,501			
Gross Income from leave entitlements	\$32,668			
Deductions				
TAXABLE INCOME			\$97,169	
Tax Payable before Rebates/Credits				\$19,939
LESS Rebates & Credits				
Low Mid Income Tax Offset				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$19,939
Medicare Levy				\$1,943
NET TAX				\$21,882

Proposed Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment (July 2025 to Feb 2026)	\$64,501			
Gross Income from leave entitlements	\$32,668			
Deductions				
Personal superannuation contribution		\$52,169		
TAXABLE INCOME			\$45,000	
Tax Payable before Rebates/Credits				\$4,288
LESS Rebates & Credits				
Low Income Tax Offset				(\$325)
Total Rebates & Credits				(\$325)
TAX PAYABLE after REBATES & CREDITS				\$3,963
Medicare Levy				\$900
NET TAX				\$4,863

Note: the additional \$52,169 superannuation contribution will be subject to contributions tax of 15% (\$7,825). Therefore, total tax incurred will be \$12,688.

Therefore, the overall tax benefit is anticipated to be **\$9,194** (\$21,882 – \$12,688).

The income tax benefit (i.e. income tax refundable) is estimated to be **\$17,019** (\$21,882 – \$4,863).

10. Superannuation Contributions v Offset of Debt

- You have a residential property with associated debt of \$225,770 at an interest rate of 5.34% p.a.
- After paying off your smaller debts, you will have net proceeds of approximately \$90,000. Rather than placing all of these funds in your offset account, you have the ability to utilise some of these available funds to assist with the superannuation contribution strategy outlined in this Statement of Advice.

Interest Cost of Contribution Strategy:

Below is an outline of the expected interest cost if you were to utilise funds from your payout to make these contributions, rather than hold them in your offset account.

Interest cost of \$52,169 @ 5.34% p.a. = **\$2,786 p.a.**

Benefits of Contribution Strategy:

- Andrew, it is anticipated your NET overall tax payable will reduce by approximately **\$9,194** in the 2025/26 FY.
- By directing these monies into superannuation, the monies will then be invested within superannuation.
- Using a conservative average superannuation return of 6% p.a., the \$52,169 contributed into super via the concessional contribution strategy will earn **\$3,130 p.a.** This will compound year on year.

Basis of Recommendation:

- The reduction in tax payable and the growth rate within superannuation are anticipated to exceed the interest you will incur on the borrowed funds.
- You will be building assets in what will ultimately be a tax-free environment (superannuation when in pension phase).

11. Superannuation Funds

Karen

Karen, you have a Defined Benefit Superannuation fund with Public Sector Superannuation (PSS), from which you receive a gross fortnightly pension of \$4,200.59 (\$109,215 p.a. gross).

As agreed, this structure should be retained.

Andrew

Andrew, you currently have the following superannuation fund:

CBUS Super – Member Number 2518581

- The fund currently has a balance of approximately \$336,789.
- You effectively have two options in terms of how your existing superannuation monies are structured:
 - Continue to hold these monies in your existing CBUS Super fund.
 - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation accumulation platform.

Investments Within Superannuation

Andrew, your CBUS super fund is currently invested as follows:

85% - Growth (MySuper)

15% - High Growth

The overall asset allocation of your superannuation portfolio is:

Asset Class	Exposure
Australian Shares	23.71%
International shares	29.47%
Property	21.40%
Alternatives	9.31%
Fixed Interest	8.96%
Cash	7.15%
Total	100%

Current CBUS Super Portfolio Profile Compared to a 'Balanced to Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced to Growth Portfolio	Deviation
Australian Shares	23.71%	30.50%	-6.79%
International Shares	29.47%	33.00%	-3.53%
Property/Infrastructure	21.40%	13.00%	+8.40%
Alternatives	9.31%	4.50%	+4.81%
Fixed Interest	8.96%	16.00%	-7.04%
Cash	7.15%	3.00%	+4.15%

Current CBUS Portfolio Historical Performance at 30/01/2026:

	1 year	3 years (p.a.)	5 years (p.a.)
CBUS Super	7.35%	9.17%	7.61%

Option 1 – Maintain Existing CBUS Super

Andrew

The current options you are invested in within your CBUS fund are not aligned with your Investor Risk Profile.

The asset allocation is detailed in the table above.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long-term average performance and short-term performance associated with your CBUS Super is lower than alternative options.

Option 2 – Master Trust Platforms (Colonial First State)

Your investments in the Colonial First State (CFS) platform would have a specifically modelled portfolio directly in line with your 'Balanced to Growth' Investor Risk Profile. The specific underlying funds that make up your individual portfolio would be:

Colonial First State Wholesale Personal Super – 'Balanced to Growth' portfolio

	% of portfolio
RQI Australian Value	13.00%
Acadian Core Australian Equity	12.50%
First Sentier Australian Small Companies	5.00%
CFS Index Global Share	15.00%
RQI Emerging Markets Value	4.00%
Acadian Global Equity	14.00%
First Sentier Property Securities	5.00%
Ironbark Property Securities	4.00%
ClearBridge Infrastructure Value - Hedged	4.00%
CFS ETF Exposure Series - Physical Gold	4.50%
CFS Index Australian Bond	4.00%
Yarra Enhanced Income	6.00%
Perpetual Diversified Income	6.00%
FirstRate Saver	3.00%
	100.00%

Performance of the alternative Colonial First State 'Balanced to Growth' Portfolio at 31/01/2026:

Colonial Wholesale Personal Super Fund: Proposed Balanced Growth Portfolio				
	% of portfolio	1 year	3 years	5 years
RQI Australian Value	13.00%	13.95%	12.12%	12.74%
Acadian Core Australian Equity	12.50%	7.45%	11.08%	11.24%
First Sentier Australian Small Companies	5.00%	12.12%	7.97%	7.10%
CFS Index Global Share	15.00%	7.59%	17.25%	13.15%
RQI Emerging Markets Value	4.00%	30.87%	19.64%	12.26%
Acadian Global Equity	14.00%	5.14%	18.62%	14.63%
First Sentier Property Securities	5.00%	-0.51%	9.37%	8.18%
Ironbark Property Securities	4.00%	0.12%	8.76%	7.43%
ClearBridge Infrastructure Value - Hedged	4.00%	16.38%	9.99%	9.61%
CFS ETF Exposure Series - Physical Gold	4.50%	51.53%	31.50%	23.75%
CFS Index Australian Bond	4.00%	2.64%	2.32%	-0.50%
Yarra Enhanced Income	6.00%	5.05%	7.59%	5.78%
Perpetual Diversified Income	6.00%	4.46%	5.38%	3.56%
FirstRate Saver	3.00%	4.37%	4.61%	3.00%
	100%	10.20%	12.98%	10.72%

Proposed Portfolio

Superannuation Assets	
Colonial Wholesale Personal Super	\$336,789
RQI Australian Value	\$43,783
Acadian Core Australian Equity	\$42,099
First Sentier Australian Small Companies	\$16,839
CFS Index Global Share	\$50,518
RQI Emerging Markets Value	\$13,472
Acadian Global Equity	\$47,150
First Sentier Property Securities	\$16,839
Ironbark Property Securities	\$13,472
ClearBridge Infrastructure Value - Hedged	\$13,472
CFS ETF Exposure Series - Physical Gold	\$15,156
CFS Index Australian Bond	\$13,472
Yarra Enhanced Income	\$20,207
Perpetual Diversified Income	\$20,207
FirstRate Saver	\$10,104
Superannuation Assets	\$336,789

Benefits:

- The alternative portfolio has outperformed your current fund.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

12. Replacement of Existing Product

Type of Fee or Cost	CBUS Super – \$336,789	Colonial Wholesale Super Fund – \$336,789
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.19% p.a. + \$52 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$1,320 p.a.
Annual average cost – Total \$336,789 investment	\$692 p.a.	\$1,320 p.a.

Outcomes Post Implementation – Andrew:

- The Colonial First State Wholesale ‘Balanced to Growth’ portfolio has **outperformed** your current CBUS Super Fund over the past 5 years by an average of **3.11% p.a.**
- Based on your current balance, **this equates to \$10,474 per annum (\$52,370 over a five-year period).**
- The historical performance figures outlined on the previous pages are **NET** of the respective investment fees. The investment fees for the above two options are as follows:
 - CBUS Super (current) – **0.62%**
 - CFS portfolio (proposed) – **0.79%**

13. Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs, there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self-Insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance – Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Andrew, you currently have the following insurance cover in place under your CBUS Super fund.

CBUS Super (superannuation owned)

Life Insurance:	\$108,000
TPD	\$66,000
Premium	\$20.96 per week (\$1,089.92 p.a.)

It must be brought to your attention that your insurance cover will cease should you close your existing superannuation funds and roll your superannuation monies across to another fund. A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken.

14. Superannuation – Pension Phase and Retirement Income Streams

Andrew, your superannuation preservation age is 60. Once you reach age 60, you are able to commence an income stream with your superannuation monies. All income received from this income stream is tax free.

Previously, once you commenced an income stream all income on the amount funding the income stream was tax free as opposed to being taxed at 15% when in accumulation phase. However, from 1st July 2017 the taxation of earnings in pension phase continues to apply to 'transition to retirement' income streams where preservation age has been reached and you have not yet retired.

The minimum pension amount that you must draw is 4% per annum whilst the maximum pension you can draw is 10%, with the specific amounts being re-calculated in July each year.

Income that is taxed within the super fund includes distributions and any capital gains realised via the selling of units. It is therefore acceptable to conclude that tax on earnings is not simply 15% of the return rate of your fund each year, but an amount less than this based on what has occurred in the fund.

Recommendations:

- From age 60, consider moving your superannuation from 'accumulation' to 'pension' phase:
 - if you do not have the ability to make the maximum personal concessional contributions to superannuation each year; and/or
 - you require funds to assist with living costs / debt repayment.

Benefits:

- The income stream assists in meeting your cash flow requirements in a tax effective manner.

15. Superannuation Taxable and Tax-free Components

Upon death, all funds in the tax-free component are passed to beneficiaries, including tax non-dependents, tax-free. Any funds passed to tax non-dependents from the taxable component are taxed at 17% (Including Medicare Levy).

Non-concessional (after tax) contributions into the superannuation environment form part of the tax-free component of the fund.

The current taxable components (and subsequent tax payable if paid to non-dependents) for your super fund are as follows:

	Taxable Component	Potential tax payable if paid to non-dependents
Andrew	\$334,766	\$56,900

Future Strategy:

- We will consider the 'withdrawal and retribution' strategy to reduce the taxable component in the years ahead.

16. Recommended Products

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

✓ Sector Specific Diversification

A wide range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

✓ Simplicity

Consolidated reporting from Colonial First State.

✓ Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

We recommend that annual automatic rebalancing is elected.

✓ Highly competitive and simple to understand fee structure

No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one-off fee for upfront costs.

You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.

A 0.60% p.a. Adviser Service Fee will apply to the new Allocated Pension fund.

No switching fees or exit fees apply to this investment.

17. Adviser Service Fees

Upfront and Implementation Fees

You have agreed to a Plan Fee of \$2,000+GST, which will be invoiced to you.

Ongoing Fees

The following information explains the ongoing fees that Wellth Pty Ltd may receive for the services we provide if you choose to implement the recommendations in this SOA.

The agreed ongoing fee covers the ongoing support and services we provide to help you manage and review your financial plan. For further context on the cost of financial advice, we encourage you to refer to independent sources such as ASIC's Moneysmart website or Canstar, or please feel free to contact your adviser to discuss your fees at any time.

		Total Fee Paid by Client		Total Payable to Wellth Pty Ltd			
Investment Details	Amount Invested	(%)	(\$)	Initial (%) (\$)	Ongoing (%)	(\$)	
Colonial FirstChoice Wholesale Personal Super	\$336,789	Flat Fee	Nil	Flat Fee	Nil	\$110 p.m.	\$1,320 p.a.
Total	\$336,789		Nil		Nil		\$1,320 p.a.

12. Understanding Your Recommended Products

To make informed decisions, please read the PDS we will provide for each recommended product. These documents outline the product's key features, benefits, fees, and risks. If anything is unclear, or if you have questions about how a product may suit your circumstances, please contact us.

Cooling-Off Periods

After investing in a financial product, you may have a **cooling-off period** that allows you to change your mind if you decide the product does not meet your needs.

The period generally starts when the product is established, and its length varies depending on the product. Your PDS explains the specific cooling-off rights that apply.

If you wish to cancel an investment during this period, please notify us in writing so we can contact the product issuer within the required timeframes.

No Guarantee

Our recommendations are made with your **best interests** in mind and are based on your goals, financial situation, and needs. However, we **cannot guarantee** that the products recommended are the best available or that they will achieve specific returns. Investment performance depends on market conditions and the risks outlined in each PDS. Please read these documents carefully and contact us with any questions.

Tax Considerations

Acting on this advice may have **tax implications** for you. While we consider general tax outcomes when developing your financial plan, we recommend you seek **specialist tax advice** to understand how these strategies may affect your personal situation, both now and in the future.

18. Are My Recommended Products Restricted

Non-Superannuation Products

Yes. When recommending non-superannuation products, we can only select from Wellth Pty Ltd's APL. This list is maintained by a dedicated Investment Committee, which includes directors, advisers, and specialist research where relevant. The committee carefully analyses each product before it is added to the APL, using independent research from leading industry providers.

The APL is regularly reviewed to ensure all products, fund managers, and investment providers continue to meet our quality, performance, and compliance standards.

Superannuation Products

Yes. When recommending superannuation products, we generally select from the same APL. However, if you already hold a superannuation fund that is **not** on the APL, we may still provide advice on that fund — provided we have conducted the necessary research and have a thorough understanding of its features, benefits, and costs.

Our Responsibility to You

We are responsible for ensuring that the advice provided is **clear, concise, and effective**, and that it is based on your personal and financial circumstances, goals, and objectives. All recommendations in this SOA are made with your **best interests** in mind and are appropriate based on the information you have provided.

Because this advice has been prepared specifically for you, Wellth Pty Ltd and your adviser are not responsible for any third party who acts on all or part of the recommendations in this SOA.

Do We Guarantee Investment Performance?

No. While the investments we recommend must be appropriate for your situation, neither Wellth Pty Ltd nor your adviser guarantees that they are the best available or that they will perform in a particular way.

Investment returns can vary due to market conditions and other factors beyond our control.

19. Adviser Remuneration and Conflicts of Interest

Your adviser receives a salary and is eligible for a discretionary performance-based bonus paid by Wellth Pty Ltd; he does not receive any other fees or commissions.

Wellth Pty Ltd and its advisers do not receive or pay referral fees or commissions.

We act in your best interests and manage conflicts in accordance with Wellth Pty Ltd's compliance and governance framework.

Any potential conflict that could influence our advice will be clearly disclosed to you in writing.

20. Privacy and Your Information

We are committed to protecting your privacy.

Your personal information is collected only for the purpose of providing financial advice and related services.

It may be shared with product providers, regulators, and service partners as required by law or to implement your instructions.

For more details, please refer to our Privacy Policy at www.wellth.financial.

21. Next Steps

To proceed with implementing the recommendations in this SOA:

- Read this document and any associated PDS' carefully.
- Contact us if you have any questions or if any information appears incorrect.
- Sign and date the Authority to Proceed once you're ready.
- Complete and return the required forms to us.
- Keep copies of all documents for your records.

Important Note

This SOA has been prepared based on the goals, objectives, and personal circumstances you shared with us. It outlines tailored strategies designed to help you move confidently toward your financial and lifestyle goals.

Because your circumstances and the economic environment can change over time, including inflation, investment returns, and legislation it's important to review your plan regularly to ensure it remains relevant and effective. We recommend meeting at least annually, or whenever a significant life or financial change occurs.

Regular portfolio reviews also help confirm that your investments are performing as expected and remain aligned with your objectives, timeframe, and risk tolerance.

All investments carry risk. The value of your investments may rise or fall, and returns cannot be guaranteed. You may receive less than your original investment amount. Please ensure you review the PDS' carefully before making any decisions.

End of Statement of Advice